

Meta Platforms, Inc.

META NASDAQ

Buy	\$731.37 ▲ 2.20%	12M Price Target \$850.00	52-Week Range \$520.26 – \$779.82	Market Cap \$1.86T
-----	------------------	------------------------------	--------------------------------------	-----------------------

META: Zuck Selling Into Strength, But AI Story Intact

WHAT HAPPENED

- Stock bounced +2.2% to \$731 after getting whacked from the \$777 high last Thursday — that's a ~6% pullback in three sessions, and buyers stepped in near \$715. Translation: this looks like a healthy pause after a hot run, not the start of something ugly. Volume today was light (~15M vs. 30M+ recently), which tells me the selling pressure exhausted itself.
- Zuckerberg dumped ~\$9.5M of stock last Thursday right at the top (\$775-777). Insiders selling into strength isn't a red flag by itself — he sells on a schedule — but the timing was... convenient.

WHY IT MATTERS

Here's what I think is really going on: the options market is screaming bullish (put/call at 0.53, meaning traders are buying nearly 2x as many upside bets as downside protection) and there's massive unusual call activity clustered right at \$720-730 — that's traders positioning for a bounce off exactly where we are now. Combine that with the Trump administration's generally friendly posture toward Big Tech (they've been quiet on antitrust and killed a bunch of Biden-era AI restrictions), and the setup favors the bulls. The Zuck selling matters less than it looks — he's been selling weekly all year under a pre-set plan — but the fact that institutions still hold 79% tells you the smart money isn't running. What to watch: if we hold \$715 on the next dip, this is a coiled spring for a run back at the 52-week high.

POLICY & POLITICAL WATCH

The big one is the EU Digital Markets Act enforcement — Meta got hit with fresh fines earlier this year and there's ongoing pressure on their "pay or consent" ad model in Europe, which is ~25% of revenue. Stateside, it's the opposite vibe: the Trump FTC has softened the previous administration's push to break up Instagram/WhatsApp from Meta, and the AI executive order rollback means Meta can train Llama models with far less regulatory friction than competitors face abroad. Also watch the KOSA (Kids Online Safety Act) debate — if it passes in a strict form, Meta has to spend heavily on age verification, but they've already built most of that infrastructure, so it actually hurts smaller competitors more.

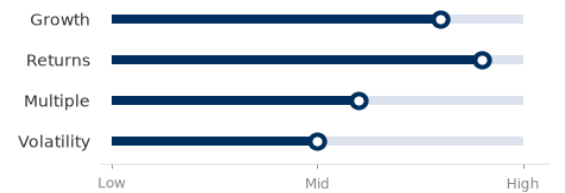
IS IT EXPENSIVE?

At ~26x forward earnings (you're paying \$26 for every \$1 the company will earn next year), META isn't cheap but it's not stupid either — the S&P trades around 22x and Meta is growing faster with 40%+ operating margins. The bear case is that ~\$60B/year in AI capex (data centers, chips, Reality Labs) never earns its keep. The bull case is that ad revenue alone justifies most of the current price, and you get the AI optionality for basically free.

Key Data

Price (USD)	\$731.37
12M Price Target	\$850.00
Upside / (Downside)	+16.2%
Market Cap	\$1.86T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	26.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$780.00	\$745.00	\$690.00
6 Months	\$850.00	\$780.00	\$650.00
1 Year	\$920.00	\$850.00	\$620.00
2 Years	\$1100.00	\$950.00	\$600.00
5 Years	\$1500.00	\$1200.00	\$550.00
10 Years	\$2200.00	\$1600.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+0.98%) — money rotating defensive as bond yields wobble, and utilities are secretly an AI play because data centers need massive power contracts.

COOLING OFF: Real Estate (-2.99% over 5 days) and Tech (-0.97%) — rate uncertainty is spooking rate-sensitive sectors, and tech is digesting a huge YTD run.

ROTATION WATCH: Money is quietly leaving mega-cap tech (Comm Services down 2% on the week) and hiding in utilities/defensives — that's a caution flag, but META outperforming its sector today (+2.2% vs. sector +0.04%) shows there's still stock-specific demand.

RELATED PLAY: If you believe the AI data center buildout continues, the picks-and-shovels play is the power/utility names supplying these data centers (VST, CEG) — they're up massively but still benefit from every dollar Meta spends on capex.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Also benefiting from softer antitrust posture and cost discipline resonating with investors.
- NFLX (Netflix): Ad tier momentum + password-sharing crackdown compounding — pure execution story with less regulatory overhang than META.

META CONTEXT: META is bouncing today while the broader Comm Services sector is flat — that's leadership, not laggard behavior. When a stock outperforms its sector on a bounce day, it usually means dedicated buyers are stepping in, not just index flows. That's constructive for the next leg up.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Bullish but not table-pounding; the AI capex question is real and the stock isn't cheap enough to be a screaming buy.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Add on pullbacks to \$700-720; if it breaks \$700, wait for it to stabilize before adding more.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q4/Q1 earnings showing that AI investments are starting to drive measurable ad revenue lift (better targeting, more engagement).

WHEN TO BAIL: If ad revenue growth drops below 10% year-over-year, if the EU forces a fundamental change to the ad model, or if capex guidance for 2027 jumps another 30%+ without a revenue story to match.

HEDGING: Simplest hedge — buy a put option 10% below current price expiring after earnings; costs you a small premium but caps your downside if the report disappoints. Or pair with a short position in a more expensive AI-hype name to isolate the Meta-specific bet.